Question 1

It is December 20X2. You are a manager with Siggins and Wells (SW), registered auditors. One of the partners, Ned Black, has been approached by Fred Johnstone, the finance director of Electipart Supplies Ltd wishing to appoint SW as auditors. Ned and Fred have been friends for a number of years; they frequently cycle together and are both members of a local charity fundraising committee. Ned has provided you with some brief notes he made at his meeting with Steven and has asked you to review them and analyse and explain the acceptance risks relating to carrying out the audit of Electipart. In addition, he would like you to recommend any further actions SW should undertake in response to the risks before the audit engagement can be accepted.

Notes of meeting between Fred Johnstone, finance director, Electipart and Ned Black, audit partner, SW.

1. Electipart is the parent of an established group of companies in the electronic components industry. It produces some components in its own factories and sources others from independent suppliers.
2. The head office of Electipart is in Edinburgh and the company owns a factory 10 miles away where components are produced and bought in components are packaged. Electipart has a number of subsidiary companies including one in Germany, one in the US and two in sub-Saharan Africa. The African subsidiaries produce and export components to Electipart.
3. The group has recently had adverse publicity in the national press following complaints that child labour is being used in their African subsidiaries and that working conditions there are very poor.An internet-based group that campaigns against child exploitation has begun to email Electipart'sclients asking them to confirm that they do not source components from suppliers which use childlabour. Electipart has denied the use of child workers and Steven is convinced that the story willsoon be dropped by the press and that any subsequent impact on revenue will be temporary. Electipart has been consistently profitable in recent years.
4. Electipart's outgoing external auditors had worked with the company for the previous six years but resigned from the engagement two weeks ago without any warning. Electipart has a year- end of 31 December 20X2 and expects the audit to be completed by the end of February 20X3.

Question:

Evaluate the acceptance risks in relation to the audit of Electipart and recommend further actions that the firm should take in relation to any identified risks before the engagement can be accepted.

(19 marks)

Question 2

You are an audit manager in the firm of Atkins and Wilson (AW), registered auditors. Your audit partner, Sally Hunter, has asked you to identify acceptance risks and their impact on AW, in connection with a potential new client, the Carnegie Coffee Company Ltd (CCC).

The company's founder, major shareholder and managing director, Colin Carnegie, recently wrote to AW inviting the firm to tender for its audit, explaining that the existing auditors have resigned, and he wishes our firm to audit the financial statements for the year ended 30 September 20X7. Extracts from this letter are in the Appendix. Sally explained that Colin contacted AW because one of your senior partners, Eric Waller, is his brother-in-law.

You have carried out some research in order to establish some background information on CCC. It was established 12 years ago and now has three divisions:

- Coffee growing, which comprises two companies, one in Ethiopia and one in Peru.
- Coffee processing, which is carried out in the Netherlands.
- Coffee trading, based in offices near London.

The company processes all the coffee it grows but also processes coffee for other growers. The processed coffee is supplied to high-street coffee chains and supermarkets. In 20X4 the company began trading speculatively in coffee as a commodity on the global market.

According to the records at Companies House, CCC is 51% owned by Colin Carnegie, 19% owned by his wife and family and 30% by BYY Investment Bank plc.

If AW undertakes this audit, CCC will be the firm's second-largest audit client. Sally has some concerns about accepting this audit and has arranged a meeting with Jessica Starr, the senior partner.

Question:

Evaluate the acceptance risks associated with this engagement and analyse the impact of these on AW.

(30 marks)

APPENDIX – Extracts from Colin Carnegie's letterBusiness Background

I am the founder and largest shareholder of CCC. The group commenced trading 12 years ago and is headquartered in Slough, near London. It has four subsidiaries:

- Carnegie Coffee (Ethiopia) Ltd.
- Carnegie Coffee (Peru) Ltd.
- Carnegie Coffee Processing Ltd (based in the Netherlands).
- Carnegie Coffee World Traders Ltd (World) is based in Slough, in the group's Head Office.

CCC does not trade. It holds 100% of the share capital of each subsidiary. CCC charges management fees to the subsidiary companies to cover directors' salaries and bonuses.

The coffee beans from Ethiopia and Peru are all shipped and processed in the processing factory in the Netherlands. The processed coffee is not retailed under the CCC brand but is supplied under long-term contracts to well-known chains of coffee shops and several supermarkets that sell it under their own brand names. This accounts for 70% of processing capacity. The remaining capacity is used to process the coffee of other growers.

World was established in 20X4 and trades coffee options and futures on recognised commodity markets.

We have small finance teams based in Ethiopia, Peru and the Netherlands. They all report to the finance team in Slough. World's finance function is based in the head office in Slough.

Recent financial performance

CCC has been a profitable and fast-growing company but is forecast to make significant losses in the current financial year. There are several reasons for this:

1. CCC has grown rapidly on the back of the growth of UK high-street coffee shops. This growth has slowed considerably as the market has become saturated and there are poor general economic conditions in the UK.
2. Profits of World have been volatile. In the year ended 30 September 20X6, it contributed 30% ofthe group's pre-tax profit but this year the management accounts for the six months to 31 Marchshow a significant loss.
3. Market share was lost to fair-trade coffee brands following a television documentary criticising the working conditions of coffee-growing workers and the use of child labour in Ethiopia. CCC was not mentioned in the documentary and we remain confident that the company's working practices are fair and reasonable.
4. There have been poor harvests in Ethiopia through 20X6 and 20X7. In order to meet our long-term supply contracts with supermarkets we have had to purchase 10% of our coffee beans on the open market.

Change of auditors

The previous auditors have resigned. No clear reason for resignation was given but they may have considered the workload associated with the audit too onerous as the company has grown rapidly in recent years.

As I know Eric, I believe AW will have the resources to perform the CCC audit and have signed financial statements by 15 November 20X7. These are required by our bank as part of the loan and overdraft renewal process.

Additional information

Our finance team at head office comprises five staff: head accountant, assistant accountant and three administrative assistants. Our head accountant is due to go on maternity leave at the end of September for 12 months and her position will be temporarily taken by the assistant accountant.